Concentrations in Commercial Real Estate Lending, Sound Risk Management Practices

Office of the Comptroller of the Currency, Board of Governors of the Federal Reserve System, and Federal Deposit Insurance Corporation. Issued December 12, 2006.

SUPERVISORY CRITERIA

An institution may be identified for further supervisory analysis where total reported loans for construction, land development, and other land (CLD) represent 100 percent or more of the institution's total risk-based capital.

Further analysis also applies where total non-owner occupied commercial real estate loans represent 300 percent or more of the institution's total risk-based capital, and the outstanding balance of the CRE portfolio has increased by 50 percent or more during the prior 36 months. Loans secured by owner-occupied properties are excluded from this measure.

These criteria identify institutions for heightened scrutiny of risk management practices; they do not constitute limits or hard caps on lending.